1.4

Types of Business Organisation

Cambridge IGCSE Business

- Sole Trader
- Partnership
- Private Ltd (Ltd)
- Public Ltd (PLC)
- Franchises
- Joint Ventures
- Social Enterprises

Types of Business Organisation

The legal structure of a business determines who owns it, who is responsible for its debts and how it raises finance. Choosing the right structure is a critical decision.

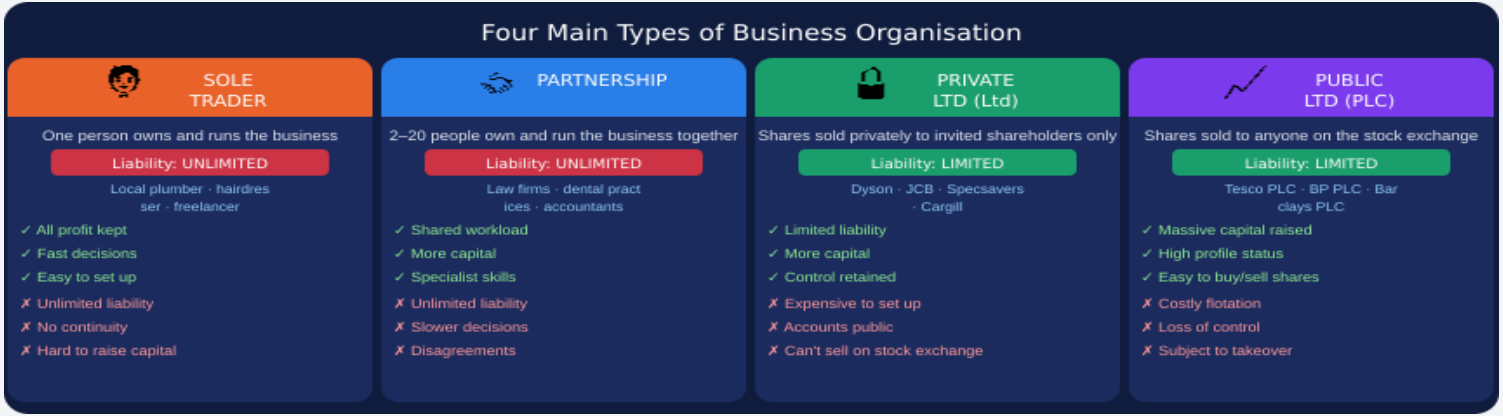
- Explain sole traders, partnerships, Ltd and PLC
- Distinguish limited from unlimited liability
- Evaluate franchises and joint ventures
- Understand social enterprises
- Recommend a suitable structure for a given situation

Sole Traders, Partnerships, Ltd & PLC

The four main legal structures

The Four Main Business Structures – Overview

The legal structure determines ownership, liability and how finance is raised. The key distinction is between limited liability (shareholders) and unlimited liability (sole traders and partnerships).



LIABILITY — the most important concept in business law:

UNLIMITED LIABILITY	The owner's personal assets (house, car, savings) can be seized to pay business debts. Sole traders and partnerships.
LIMITED LIABILITY	Shareholders can only lose what they invested in shares — personal assets are protected. Private and public limited companies.

Exam tip: Limited liability is the MAIN advantage of forming a company. An entrepreneur should incorporate (form a Ltd) when the financial risk to personal assets becomes too large.

Sole Trader and Partnership – Advantages and Disadvantages

Sole traders and partnerships are the simplest and most common business structures for small businesses. Both have unlimited liability — the key disadvantage.

Advantages – Sole Trader

- All profits kept by the owner — no sharing
- Complete control over all decisions
- Very easy and cheap to set up — no legal formalities
- Privacy — no requirement to publish accounts

Disadvantages – Sole Trader

- Unlimited liability — personal assets at risk
- Hard to raise finance — limited to own savings and loans
- No continuity — business ends if owner dies or retires
- Work overload — no one to share management tasks

Real sole trader examples: Jamie Oliver (original restaurant) · local plumber · hairdresser · freelance photographer · market trader · personal trainer

Advantages – Partnership

- Shared workload and specialist skills
- More capital available from multiple partners
- Easier to cover holidays, illness and absence
- Shared decision-making and risk

Disadvantages – Partnership

- Unlimited liability — each partner liable for ALL debts
- Disagreements between partners can paralyse the business
- Profits shared — less than sole trader if equal partners
- Bound by the decisions of other partners

Real partnership examples: GP medical practices · local law firms · small accountancy firms · architect studios · dental practices

Exam tip: A Deed of Partnership sets out how profits are shared, voting rights and what happens if a partner leaves. Withoutone, the Partnership Act 1890 applies by default.

Private Limited Companies (Ltd) and Public Limited Companies (PLC)

Both Ltd and PLC offer limited liability — shareholders can only lose their investment. The key difference is where shares can be sold and to whom.

Advantages – Private Ltd (Ltd)

- Limited liability — shareholders' personal assets protected
- Owners keep control — shares only sold to invited people
- Easier to raise capital than a sole trader or partnership
- Business continues if a shareholder leaves or dies

Disadvantages – Private Ltd (Ltd)

- More complex and expensive to set up than sole trader
- Must publish annual accounts — less financial privacy
- Cannot sell shares on stock exchange — limits capital
- Directors must comply with company law and regulations

Real Ltd examples: Dyson Ltd · JCB Ltd · Specsavers · Innocent Drinks · Warburtons · Brompton Bicycle · Fever-Tree (before flotation)

Advantages – Public Ltd (PLC)

- Can raise very large amounts of capital via stock exchange
- Shares are freely transferable — easy for investors to exit
- High public profile attracts customers and top talent
- Limited liability for all shareholders

Disadvantages – Public Ltd (PLC)

- Very expensive to float on stock exchange (£millions)
- Shareholders may demand short-term profits over long-term
- Risk of hostile takeover from investors buying shares
- Full disclosure of accounts — competitors can see everything

Real PLC examples: Tesco PLC · Barclays PLC · BP PLC · BT Group PLC · Rolls-Royce PLC · Marks & Spencer PLC · Vodafone PLC

Exam tip: When recommending a structure: unlimited liability risk → form a Ltd. Need large capital for expansion → consider PLC. Want to keep control → stay as Ltd or sole trader.

Franchises, Joint Ventures & Social Enterprises

Other forms of business organisation

Franchises – Buying the Right to Use an Established Brand

A franchise is an agreement where a franchisor grants a franchisee the licence to operate a business using their brand, systems and support in return for fees and royalties.

Franchises — Using a Proven Brand

FRANCHISOR

The original brand owner (e.g. McDonald's)

- ✓ Expands with less capital outlay
- ✓ Franchisee takes on local risk
- ✓ Royalty income without managing outlets
- ✗ Difficult to maintain quality control
- ✗ Reputation at risk from bad franchisees

⇄ licence + fee

FRANCHISEE

The local owner (e.g. local McDonald's owner)

- ✓ Proven brand reduces start-up risk
- ✓ Training and support provided
- ✓ Easier to get bank finance
- ✗ Must pay ongoing royalties to franchisor
- ✗ Limited freedom to make decisions

Examples

McDonald's: 40,000+ franchised locations
Costa Coffee: 2,400+ UK franchises
Domino's: Over 1,200 UK outlets
Anytime Fitness: Global gym franchise
McDonald's: Franchise fee: ~£100,000+

Real franchise examples — what both sides get:

Franchise	Initial Fee	Franchisor gets	Franchisee gets
McDonald's	~£100,000–500,000	Royalties (4–5% of sales) + brand expansion	Proven brand, training, marketing, supplier deals
Costa Coffee	~£250,000	Passive royalty income from 2,400+ UK outlets	High street brand recognition, full training
Domino's Pizza	~£150,000	Royalties + growing UK market share	Strong delivery brand, tech platform, recipes
Anytime Fitness	~£150,000	Global gym brand growth without direct investment	24/7 business model, member management system

Exam tip: The franchisor ALWAYS retains brand control. The franchisee ALWAYS pays ongoing royalties — usually a percentage of sales, not profit. Both sides have advantages AND disadvantages.

Joint Ventures – Two Businesses Collaborate on a Project

A joint venture (JV) is when two or more businesses agree to work together on a specific project or activity, sharing costs, risks and profits — while remaining separate, independent companies.

Business A

Brings: capital, expertise, brand

Retains: independence and own identity

JOINT VENTURE

Shared project · shared profits

Business B

Brings: local knowledge, technology, people

Retains: independence and own identity

Advantages of Joint Ventures

- Shared costs and financial risk of the project
- Combine expertise — each partner brings different skills
- Access to new markets through partner's local knowledge
- No permanent commitment — ends when project is complete

Disadvantages of Joint Ventures

- Disagreements on strategy, costs or profits can arise
- Profits must be shared between the partners
- Cultural differences between businesses cause conflict
- One partner may benefit more than the other

Real JV examples: Sony + Ericsson → Sony Ericsson mobile phones · BMW + Toyota → hydrogen fuel cell technology · Starbucks + PepsiCo → bottled coffee drinks

JV vs Merger:
In a JV both businesses REMAIN SEPARATE and independent — it is a partnership on one project. In a MERGER, the two businesses permanently combine into one new entity.

Exam tip: A JV is NOT the same as a merger or takeover. Both businesses remain separate and independent. Always give a real example — Sony Ericsson or BMW/Toyota are the strongest ones.

Social Enterprises – Business with a Social Purpose

A social enterprise is a business that trades to achieve social, environmental or community objectives — reinvesting profits back into its social mission rather than distributing them to shareholders.

Key principle: profit is a means to a social end, not the end itself

The Big Issue

Magazine sold by homeless people — provides income and skills

Cafédirect

Fair trade coffee — guarantees fair prices to farmers in developing countries

Bromley by Bow

Community centre running health, education and enterprise programmes

Divine Chocolate

Fairtrade chocolate — farmers own 44% of the company

Advantages of Social Enterprises

- Motivated workforce — staff committed to the social mission
- Strong brand loyalty — customers prefer ethical businesses
- Access to grants not available to profit-driven businesses
- Tax advantages in some cases

Disadvantages of Social Enterprises

- Less profit available for reinvestment in the business
- Harder to raise capital — investors want financial returns
- May conflict with social and commercial objectives
- Can be undercut by mainstream competitors on price

Exam tip: Social enterprises are NOT charities — they trade commercially. They are NOT fully profit-driven — profits serve the mission. They sit between the two extremes.

Key Revision Checklist – 1.4 Types of Business Organisation

Sole Trader	One owner, unlimited liability, all profit kept, easy to set up. Risk: personal assets at risk if business fails
Partnership	2–20 owners, unlimited liability, shared skills and capital. Risk: each partner liable for ALL debts of the business
Private Ltd (Ltd)	Shares sold privately, limited liability, owner retains control. Cannot sell on stock exchange
Public Ltd (PLC)	Shares sold on stock exchange, huge capital raised, limited liability. Risk: hostile takeover, short-termism
Limited liability	Shareholders can only lose their investment — personal assets protected. KEY advantage of forming a company
Franchise	Franchisor licenses brand to franchisee. Franchisee: proven brand, less risk. Franchisor: expands with less capital
Joint Venture	Two businesses collaborate on a specific project. Shared costs and expertise. Both remain independent
Social Enterprise	Trades commercially but reinvests profits for social/environmental goals. Examples: Big Issue, Cafédirect